

EXHIBIT A

**IN THE UNITED STATES COURT OF APPEALS
FOR THE ELEVENTH CIRCUIT**

AMERICAN SECURITIES
ASSOCIATION, et al.,

Petitioners,

v.

UNITED STATES SECURITIES AND
EXCHANGE COMMISSION,

Respondent.

Case No. 26-10936

**DECLARATION OF ROBERT WALLEY IN SUPPORT OF
INTERVENOR CONSOLIDATED AUDIT TRAIL, LLC'S
OPPOSITION TO PETITIONERS' MOTION FOR STAY**

I, Robert Walley, state as follows under penalty of perjury:

1. I am the Chair of the Operating Committee of Consolidated Audit Trail, LLC ("CAT LLC"), in a non-voting, non-management, and solely administrative capacity.

2. I submit this declaration in support of CAT LLC's Opposition to Petitioners' Motion for Stay.

3. In my current role, I am responsible for overseeing the operation of the CAT NMS Plan and the governance of the CAT Operating Committee. My role includes the following activities: liaising between the Operating Committee, the Advisory Committee, outside counsel, SEC staff, and the Plan Processor; facilitating communications between Industry Member groups and the Operating Committee; facilitating Operating Committee meetings, including setting agendas and moderating; and assisting with duties prescribed by the Operating Committee, including reviewing and signing documents on behalf of the Operating Committee

upon Operating Committee approval and facilitating other committee, sub-committee, or working-group meetings where relevant as determined by the Operating Committee.

4. I have worked in this role since August 2025. Between 2012 and June 2024, through my role as a Principal in the Banking and Capital Markets group at Deloitte, I was also the lead partner responsible for the project office supporting the Self-Regulatory Organizations in their implementation of the Consolidated Audit Trail (“CAT”) as required under SEC Rule 613.

5. In June 2024, I retired from Deloitte and formed Walley Consulting. The focus of this business is to assist organizations in modernizing their regulated operations, implementing enabling technologies, and solving complex issues in the banking and capital markets industry.

A. CAT Fees under the CAT NMS Plan & 2023 Funding Model

6. In 2016, the SEC approved the CAT NMS Plan, which outlines the requirements for the operation of the CAT and also serves as the LLC agreement for CAT LLC. CAT LLC is owned and operated by the Participants to the CAT NMS Plan—that is, the SROs (the exchanges and FINRA).

7. From 2016 through July 2024, CAT LLC was funded by the SROs via interest-free promissory notes totaling \$915,618,016. This arrangement was provisional; it was always understood that Industry Members would eventually share CAT costs with SROs and pay back a portion of these loans. And the CAT NMS Plan makes clear that “[e]xcept as may be determined by a unanimous vote of all the Participants or as may be required by applicable law, no Participant shall be obligated to contribute capital or make loans to the Company.” CAT NMS Plan Section 3.8(a). The footnotes in the audited CAT LLC Financial Statements for 2021 and 2022 address the pre-2023 funding structure and reflect the SROs’ full funding for CAT during that period.

8. On September 6, 2023, the SEC approved a funding model for the CAT; billing under this funding model began in October 2024.¹ The SEC-approved funding model provided that CAT LLC would collect two kinds of fees: historical CAT fees and prospective CAT fees. For each transaction, a third of the fee would be allocated to the participating SRO, buy-side broker-dealer, and sell-side broker-dealer. From an accounting perspective, the SROs would thus pay a third of both historical and prospective fees, and Industry Members (i.e., broker-dealers) would pay two thirds; in this Declaration, I refer generally to a one-third/two-thirds allocation to streamline my discussion. Under the funding model, the SROs would submit substantively identical fee filings on behalf of CAT LLC to the SEC under the Rule 19(b) process for SRO rule filings—i.e., by electronically submitting the fees as proposed rule changes using a Form 19b-4. That means all fees—and the underlying budget projections on which they are based—are filed with the SEC and subject to public comment.

9. Historical fees were intended to cover a portion of the CAT costs previously paid by the SROs. These “Historical CAT Costs” were incurred by the SROs prior to July 15, 2024.² However, only CAT costs incurred through January 1, 2022, were submitted to the SEC and approved for recovery under Historical CAT Assessment 1 (the first historical fee).³ Historical CAT costs incurred through January 1, 2022, were \$401,312,909, less excluded costs of \$83,253,090, resulting in \$318,059,819.

¹ See Exchange Act Release No. 34-98290, 88 Fed. Reg. 62,628 (Sept. 12, 2023) (“2023 Funding Order”).

² 89 Fed. Reg. 76,626, 76,626 (Sept. 18, 2024) (“Historical CAT Assessment 1”).

³ The period from January 2, 2022, through July 15, 2024, was subject to a separate financial accountability milestone under the CAT NMS Plan and so not included in Historical CAT Assessment 1.

10. Historical CAT fees were assessed against SROs and Industry Members. The fee rate for Historical CAT Assessment 1—\$0.000013—was calculated by dividing the recoverable Historical CAT Costs by the projected total executed share volume of all transactions in eligible securities during the Historical Recovery Period (which must be between two and five years); that fee rate was to remain in effect until all historical costs for the assessment were collected. Industry Members paid fees based on their trading volume to cover their two thirds of the recoverable Historical CAT Costs (\$212,039,879).

11. Historical CAT fees, even if fully paid, would not make the SROs fully whole. Because the SROs agreed to fund the CAT interest-free loans, they forwent approximately \$336,615,645 in interest on these loans (based on a conservative interest rate).

12. Prospective fees were assessed by CAT LLC to Industry Members and SROs to fund CAT LLC's ongoing costs. Prospective fees serve to fund operating costs and the liquidity reserve. Under the 2023 funding model, CAT LLC set a prospective fee rate twice a year in the following way.

13. To set the prospective rate, first, CAT LLC determined a projection for its budgeted costs for the year. This figure depended on a variety of underlying projections, such as the projected operating fees for FINRA CAT (the Plan Processor for the CAT NMS Plan, which provides for the CAT's operational and technical expenses—including, but not limited to, Amazon Web Services ("AWS") cloud-hosting fees, Customer Account and Information System ("CAIS") and Non-CAIS operating fees, developed technology costs, and license fees) and the anticipated fees for the vendors on which CAT LLC relies. These vendors include CAT LLC's primary service providers: Deloitte, which provides operational support; Anchin, CAT LLC's financial-advisory provider; Grant Thornton, CAT LLC's independent audit firm; and CAT LLC's legal counsel.

14. The 2023 Funding Order authorized CAT LLC to include in its budget a “reserve of not more than 25% of the annual budget.”

15. For purposes of calculating fees under the funding model, CAT LLC also established a projection for trading volumes (in terms of total executed equivalent shares) based on backward-looking data for the prior year.⁴ CAT LLC was required to base its projection on the prior twelve months, but could use its discretion to analyze the likely volume for the upcoming year, for instance by using a shorter window of prior data as a reference if the volume over the prior twelve months was unusual or otherwise unfit to serve as the basis of a future volume estimate.

16. CAT LLC then calculated the fee rate: the amount that must be charged per executed equivalent share (based on projected trading volume) in order for budgeted revenues (i.e., anticipated fee receipts) to equal budgeted operating expenses.⁵ The overall fee rate was then divided by three to give the base fee rate that was charged to SROs; Industry Members were charged for two thirds of the overall fee.

17. The prospective fee rate, which was based on a projection at the start of each year, was subject to a mid-year adjustment to take into account actual operating expenses, updated budget information from vendors, and actual collections for prospective fees.⁶

⁴ 2023 Funding Order at 62,650-51. See, for example, Nasdaq Stock Market LLC, Form 19b-4, File No. 2024-047 at 9 (Aug. 15, 2024), <https://listingcenter.nasdaq.com/assets/rulebook/nasdaq/filings/SR-NASDAQ-2024-047.pdf> (“CAT Fee 2024-1 Fee Filing”).

⁵ See CAT Fee 2024-1 Fee Filing at 9; *How Is a CAT Executing Broker’s CAT Fee Calculated?*, Consolidated Audit Trail LLC (updated Sept. 25, 2025), <https://www.catnmsplan.com/faq/v4>.

⁶ 2023 Funding Order at 62,651.

18. The funding model was based on actual and budgeted operating expenses to target a liquidity reserve of 25% of operating expenses for the period. In other words, the aim under the funding model's methodology was to break even while maintaining the 25% reserve amount. The need to use projected figures (including trading volumes outside the SROs' control) inevitably introduced some uncertainty, but any overage in actual fee collections was credited in subsequent fee cycles, by revising later fee rates downward to account for actual collections and cost savings.

19. During the time period for which CAT LLC collected prospective fees, trading volume grew significantly. At the time of the adoption of the CAT NMS Plan, back in 2016, around 58 billion covered reports per day were anticipated.⁷ But by August 2024, the CAT was approaching 1 *trillion* covered reports per day, hitting almost 1.5 trillion in 2025. As another illustration of trade-volume growth, the prospective fee rate set for CAT Fee 2024-1 had been established on an assumption of 30% annual year-over-year volume growth for the transaction database.⁸ Actual growth came in much higher: Volumes for Q3 2024 were up 51% relative to Q3 2023, and the average monthly growth rate for 2024 was approximately 50%.⁹ Because CAT LLC's entire funding model is based on trading volumes, greater-than-expected volume growth leads directly to greater-than-expected revenue receipts. The approach to handling overages was to revise future fee rates downward, effectively providing SROs and Industry Members an offset for the excess of fees previously collected over operating expenses.

20. CAT LLC has requested multiple cost-saving amendments to and exemptions from the requirements of the CAT NMS Plan, which, to the extent

⁷ *Id.* at 14 (citing CAT NMS Plan, Appendix D-4 at n.262).

⁸ CAT Fee 2024-1 Fee Filing at 12.

⁹ CAT Fee 2025-1 Fee Filing at 14-15.

approved by the SEC, have tended to afford CAT LLC an operating surplus relative to the projections on which it had determined its prospective fees.

- a. On February 13, 2024, CAT LLC filed a request for exemptive relief from certain provisions of the CAT relating to responses to requests for quotes provided in standard electronic format.¹⁰ The SEC approved this request on May 20, 2024.¹¹
- b. On March 27, 2024, CAT LLC filed with the SEC a proposed Cost Savings Amendment to the CAT NMS Plan, which was expected to result in approximately \$23 million in new annual cost savings in the first year by optimizing certain data-storage practices.¹² The SEC approved this Amendment on December 12, 2024.¹³
- c. On March 7, 2025, CAT LLC filed with the SEC a proposed amendment relating to the Customer and Account Information System, which would eliminate requirements that Industry Members report certain identifying information for customers and delete previously reported identifying information.¹⁴ This Amendment was estimated to achieve \$12 million in annual cost savings. The SEC approved this Amendment on January 13, 2026.¹⁵
- d. On March 24, 2025, CAT LLC filed with the SEC a request to extend previous exemptive relief from provisions of the NMS Plan that would have

¹⁰ CAT LLC, Request for Exemption from Certain Provisions of the National Market System Plan Governing the Consolidated Audit Trail Related to Electronic RFQ Responses (Feb. 13, 2024), <https://www.catnmsplan.com/sites/default/files/2024-02/02.13.24-Exemption-Request-Responses-to-Electronic-RFQs.pdf>.

¹¹ Exchange Act Release No. 34-100181, 89 Fed. Reg. 45,715 (May 23, 2024).

¹² Exchange Act Release No. 34-99938, 89 Fed. Reg. 26,983 (Apr. 10, 2024).

¹³ Exchange Act Release No. 34-101901, 89 Fed. Reg. 103,033 (Dec. 18, 2024).

¹⁴ Exchange Act Release No. 34-102665, 90 Fed. Reg. 12,845 (Mar. 19, 2025).

¹⁵ Exchange Act Release No. 34-104586, 91 Fed. Reg. 2,164 (Jan. 16, 2026).

required the collection of transaction timestamps with a granularity of picoseconds rather than nanoseconds.¹⁶ This requirement would have imposed annual costs of approximately \$1 million. The SEC approved this request on May 2, 2025.¹⁷

e. On December 17, 2025, CAT LLC filed with the SEC another proposed Cost Savings Amendment, which was expected to yield \$55-73 million in annual savings.¹⁸ The SEC approved this Amendment on March 27, 2026.¹⁹

21. When CAT LLC takes steps to implement cost-saving measures, the amount and timing of any realized savings are uncertain. As the dates just listed show, each request for an amendment or exemptive relief requires consideration by the SEC and comments from interested parties, which means the approval process can be slow. And in some cases, changes that would accrue savings for the systems operated for CAT LLC involve trade-offs that would result in higher costs for Industry Members. For example, based on input from Industry Members (including Citadel Securities LLC (“Citadel”)), CAT LLC removed certain measures initially included in the 2025 Proposed Cost Savings Amendment. The modified proposal based on industry feedback is anticipated to save approximately \$15 million less in annual CAT costs than CAT LLC’s original proposal.²⁰

¹⁶ CAT LLC, Request for Exemption from Certain Provisions of the National Market System Plan Governing the Consolidated Audit Trail Related to Timestamp Granularity (Mar. 24, 2025), https://catnmsplan.com/sites/default/files/2025-03/03.24.25-CAT-Exemption-Request_Timestamp-Granularity.pdf.

¹⁷ Exchange Act Release No. 34-102980, 90 Fed. Reg. 19,334 (May 7, 2025).

¹⁸ Exchange Act Release No. 34-104504, 90 Fed. Reg. 61,506 (Dec. 31, 2025) (“2025 Proposed Cost Savings Amendment”).

¹⁹ Exchange Act Release No. Exchange Act Release No. 34-105107, 91 Fed. Reg. 16,284 (Apr. 1, 2026).

²⁰ 2025 Proposed Cost Savings Amendment at 61,510.

22. CAT LLC did not incorporate the possible savings afforded by these proposals into the budget calculations until the proposals were approved by the SEC. The result is that even after potential cost savings were identified and proposed, it could take months for these savings to be approved and incorporated into the next budget and so translate into a lower prospective fee rate.

B. Calculation of 2024 and 2025 Prospective CAT Fees

23. The CAT LLC Operating Committee agreed on prospective fees for the 2024 billing cycle, known as “CAT Fee 2024-1,” on July 31, 2024.²¹ CAT Fee 2024-1 imposed a fee rate of \$0.000035 per executed equivalent share, starting in September 2024.

24. As provided in the funding model, CAT Fee 2024-1 was eventually superseded by CAT Fee 2025-1.²² The SROs submitted Rule 19b-4 fee filings to the SEC establishing this fee on January 2, 2025.²³ CAT Fee 2025-1 revised the fee rate assessed to \$0.000022 per executed equivalent share, a nearly 40% reduction from CAT Fee 2024-1.

25. This downward revision reflected the fact that fee collections for the prior period had been substantially higher than anticipated when the prior period’s fee rate had been set. That was mainly the result of (1) higher-than-projected trading volumes and (2) lower-than-expected operating costs, particularly AWS costs, and other cost-savings initiatives.

²¹ CAT NMS Plan, CAT Fee Alert 2024-1 (Aug. 1, 2024), https://www.catnmsplan.com/sites/default/files/2024-08/08.01.24-CAT-Fee-Alert_2024-1.pdf.

²² CAT LLC, CAT Fee Alert 2025-1 (Jan. 28, 2025), https://www.catnmsplan.com/sites/default/files/2025-01/01.28.25-CAT_Fee_Alert_2025-1.pdf.

²³ See, for example, Nasdaq Stock Market LLC, Form 19b-4, File No. 2025-002 (Jan. 2, 2025), <https://listingcenter.nasdaq.com/assets/rulebook/nasdaq/filings/SR-NASDAQ-2025-002.pdf> (“CAT Fee 2025-1 Fee Filing”).

26. On the cost side, CAT LLC recognized a favorable variance of \$10,084,698 for budgeted versus realized cloud-hosting services with AWS for the period from July 16, 2024, through September 30, 2024. The favorable variance in web hosting costs was the result of CAT LLC and FINRA CAT's prepaid purchase of AWS capacity at a lower rate, rather than paying on an as-you-go basis at a higher rate.

27. Moreover, CAT LLC had begun to implement exemptive relief that had been previously requested and subsequently received from the SEC.²⁴ Implementation of this exemptive relief helped cut web-hosting costs even more because it permitted CAT LLC to cease collecting certain categories of data, such as options quotes, whose collection was originally mandated by the CAT NMS Plan and which took up immense amounts of storage, but were of limited regulatory value.²⁵

28. CAT LLC had an additional cost-saving proposal pending before the SEC while it was developing CAT Fee 2025-1, but the impact of that proposal—estimated to save \$27.5 million annually—was not reflected in the budget used to calculate that fee because it was not certain whether the SEC would approve it.²⁶

29. Meanwhile, trading volumes continued to grow even more quickly than expected.

²⁴ See, for example, Exchange Act Release No. 34-98848 (Nov. 2, 2023), <https://www.catnmsplan.com/sites/default/files/2023-11/11.02.23-SEC-Granting-Exemptive-Relief-of-Certain-Requirements-of-the-CAT-NMS-Plan.pdf>; Exchange Act Release No. 34-100181 (May 20, 2024), <https://www.catnmsplan.com/sites/default/files/2024-05/05.20.24-SEC-Granting-Exemptive-Relief-Related-to-Responses-to-Electronic-RFQs.pdf>.

²⁵ See 2025 Proposed Cost Savings Amendment at 61,507 n.7.

²⁶ CAT LLC, 2025 Financial and Operating Budget at 2 n.6 (Nov. 20, 2024), https://www.catnmsplan.com/sites/default/files/2024-11/11.20.24-CAT-LLC-2025-Financial_and_Operating-Budget.pdf.

30. In June 2025, the SROs submitted fee filings to the SEC to establish CAT Fee 2025-2.²⁷ The new fee rate was \$0.000009 per executed equivalent share, another sharp revision downward (reduced nearly 60% from the \$0.000022 rate under CAT Fee 2025-1).²⁸ That lower fee rate took effect from August 2025.

31. In announcing this new revision, CAT LLC explained that the revision was “due partially to” a “surplus reserve offset.” The Fee Alert noted the “collection of CAT fees in excess of the budgeted CAT costs for 2025 in light of the greater actual executed equivalent share volume than the projected executed equivalent share volume for CAT Fees 2024-1 and 2025-1.” The Fee Alert also noted “a reduction in anticipated budgeted costs,” from \$248.6 million to \$228.3 million, associated with the implementation of savings measures approved by the SEC pertaining to the processing of options market maker quotes and the storage of certain data.”

32. The SROs’ fee filings similarly explained that the budgeted costs for cloud-hosting services for the third and fourth quarters had been revised downward due to (1) a decrease in costs related to changes made pursuant to the Cost Saving Amendment to the CAT NMS Plan approved by the SEC in December 2024, (2) cost decreases related to optimizations resulting in reduced processing and storage costs, and (3) storage volume increases below the initial projection.²⁹ This decrease can be

²⁷ See CAT LLC, CAT Fee Alert 2025-2 (May 29, 2025), <https://catnmsplan.com/sites/default/files/2025-05/05.29.25-CAT-Fee-Alert-2025-2.pdf> (“CAT Fee Alert 2025-2”); for example, Nasdaq Stock Market LLC, Form 19b-4, File No. 2025-049 (June 30, 2025), <https://listingcenter.nasdaq.com/assets/rulebook/nasdaq/filings/SR-NASDAQ-2025-049.pdf> (“CAT Fee 2025-2 Fee Filing”).

²⁸ *Id.* at 1.

²⁹ CAT Fee 2025-2 Fee Filing at 16-17.

compared with the assumptions in the fee filings for CAT Fees 2024-1 and 2025-1, which had both assumed continued growth in cloud-hosting costs.³⁰

33. In July 2025, the Eleventh Circuit vacated the 2023 funding model. The Eleventh Circuit stayed its judgment for sixty days following the issuance of the mandate, which issued on September 30, 2025. As a result, CAT LLC issued its last invoices on December 26, 2025, covering fees through November. CAT LLC announced on December 18, 2025, that no further invoices would be issued until further notice.³¹ To be clear, CAT LLC did not seek or collect fees for any trading activity after the Eleventh Circuit's judgment went into effect. Also, as the above-recounted history demonstrates, CAT LLC set its fees and assembled its underlying budgets prior to the Eleventh Circuit's judgment going into effect.

34. Had the 2023 Funding Order remained in place, based on trends from 2024 and 2025, CAT LLC would have continued to revise fees downward to avoid further overcollection and provide a reduction to covered parties for historical overcollections. Again, the prospective fee rate had fallen from \$0.000035 per executed equivalent share in September 2024 to \$0.000009 per executed equivalent share in August 2025, a total reduction of over 74%.

C. Funding the CAT between Funding Models

35. In the absence of fees, CAT LLC has no revenue streams (besides interest income from bank-account balances).

36. After CAT LLC ceased collecting fees in light of the Eleventh Circuit's judgment, CAT LLC began covering its ongoing operating costs using the reserve.

³⁰ See CAT Fee 2024-1 Fee Filing at 11-12; CAT Fee 2025-2 Fee Filing at 14-15.

³¹ CAT LLC, Monthly CAT Update at 12 (Dec. 18, 2025), <https://www.catnmsplan.com/sites/default/files/2025-12/12.18.25-Monthly-CAT-Update-Final.pdf>.

37. On January 15, 2026, Citadel submitted a petition for rulemaking to the SEC asking it to amend the CAT NMS Plan to prohibit CAT LLC from using the reserve to fund operations in the absence of a funding model; direct CAT LLC to refund the reserve (because it consisted of fees collected under the vacated 2023 Funding Order); or, in the alternative, return reserve funds in excess of the 25% reserve CAT LLC was authorized to include in its budget under the 2023 Funding Order.³²

38. On January 16, 2026, Citadel filed a lawsuit against CAT LLC in the United States District Court for the District of Columbia asking the court to preliminarily enjoin CAT LLC from using the reserve to fund operations pending the SEC's consideration of the petition for rulemaking. *See Citadel Securities LLC v. Consolidated Audit Trail LLC*, No. 26-cv-134 (D.D.C. filed Jan. 16, 2026).

39. On February 18, 2026, the SEC issued a letter stating that it would not engage in rulemaking on the use of the reserve, denying Citadel's petition.³³ The SEC explained that CAT LLC's use of the reserve to fund operations was consistent with the CAT NMS Plan. The SEC further explained that immediate rulemaking on the issue of the reserve was not necessary because "if the Commission were to determine that certain entities bore a disproportionate share or excessive amount of CAT operating expenses funded by the current reserve, the imbalance could be addressed by adjusting future fees or through other actions." Citadel dismissed its lawsuit after the SEC issued this letter.

40. CAT LLC will continue using the reserve to fund operations until it begins collecting fees. Reserve funds have not been, and will not be, used to repay

³² Citadel Securities Petition for Rulemaking (Jan. 15, 2026), <https://www.sec.gov/files/rules/petitions/2026/petn4-878.pdf>.

³³ SEC Letter (Feb. 18, 2026), https://www.sec.gov/files/rules/petitions/2026/4-878_rulemaking-petition-letter.pdf.

SROs' historical loans to CAT LLC or any other incidental costs incurred by the SROs in connection with the operation of the CAT.

D. Fees under the 2026 Funding Order

41. CAT LLC proposed a new funding model—largely identical to the earlier funding model but with an additional provision that no SRO would directly pass its CAT fees through to broker-dealers—to the SEC shortly after the Eleventh Circuit issued its decision. After conducting a new economic analysis, the SEC approved a modified, two-year-limited version of that proposal on March 16, 2026.

42. On March 31, 2026, CAT LLC voted to establish a prospective CAT fee (“CAT Fee 2026-1”) with a rate of \$.000001 per executed equivalent share starting in May 2026 (with the first invoice issued in June 2026 and due in July 2026). The fee alert for this fee explained that “[t]he fee rate of \$.000001 for CAT Fee 2026-1 is lower than the prior fee rates for CAT Fees” because of (1) “the collection of CAT fees in excess of the budgeted CAT costs for 2025 in light of the greater actual executed equivalent share volume than the projected executed equivalent share volume for CAT Fees 2025-1 and 2025-2” and (2) “a reduction in anticipated budgeted costs associated with the implementation of certain cost savings measures.” The surplus reserve balance was used to offset a portion of CAT costs under CAT Fee 2026-1.

43. If the fee rate for CAT Fee 2026-1 had been calculated solely based on the reasonably budgeted costs for CAT for May through December of 2026—and had not included the surplus-reserve offset—the fee rate would have been \$.000010 per executed equivalent share.

44. Also on March 31, 2026, CAT LLC voted to establish a Historical CAT Assessment (“Historical CAT Assessment 1A”) to recover the \$38,964,855.34 that had been included in but not recovered under Historical CAT Assessment 1 when the Eleventh Circuit’s judgment went into effect and CAT LLC stopped collecting

fees under the 2023 Funding Order.³⁴ The fee rate for Historical CAT Assessment 1A is \$0.000002 per executed equivalent share. As the fee alert explains, this fee was calculated based on an estimate that it will take approximately two years—the shortest estimated time period CAT LLC can use to calculate historical fee rates under the 2026 Funding Order—to recover the \$38,964,855.34 included in this Historical CAT Assessment, based on projected trade volume. The fee rate will remain in place until the costs included in this Assessment have been recovered.

45. If the Court prohibits CAT LLC from collecting fees under the 2026 Funding Order, CAT LLC will continue funding operations with reserve funds. But those funds are finite: Based on CAT LLC's present spending rate, which is approximately \$13 million per month, and if no fees are collected, I anticipate that the reserve is sufficient to cover operating expenses through a portion of the second half of 2026. Without reserve funds or fee revenue, there is no mechanism in place for CAT LLC to continue to fund the CAT's operations, and it is unclear how the CAT will continue to operate.

³⁴ CAT LLC, CAT Fee Alert 2026-2 (Apr. 1, 2026), <https://www.catnmsplan.com/sites/default/files/2026-04/04.01.26-CAT-Fee-Alert-2026-2.pdf>.

I certify under penalty of perjury that the foregoing is true and correct.

Dated: April 27, 2026

By: 
Robert Walley